

BEFORE YOU TRADE

OPTIONS FOR BEGINNERS WORKSHOP - THE SPARKNOTES VERSION

No homework. No pressure. This quick sheet will help you decide whether trading fits your life, temperament, and finances.

Vocabulary words

Higher time frame	A wider view of price: start with the monthly, then weekly, then daily chart.
Trend	The direction created by market structure: higher highs and higher lows, or lower highs and lower lows.
Candlestick	A picture of the open, high, low, and close during one period.
Liquidity	Areas where orders may cluster, often around obvious highs and lows.
Institutional order flow	Using price action to understand where larger buyers and sellers may be active.
Supply / demand	Areas where price previously left with force and may react again.
Invalidation	The price level that proves your idea wrong.
Risk-to-reward	How much you may lose compared with how much you reasonably aim to make.

Risk check

- ☐ I know the exact dollar amount I can afford to lose on one idea.
- ☐ I understand that an option can lose most or all of its value.
- ☐ I can follow a stop even when I want the trade to come back.
- ☐ I have money for bills and savings that will never enter my trading account.

The real decision: should you trade?

TIME	Can I consistently study, plan, and review without rushing?	YES / NOT YET
MONEY	Can I lose my trading capital without affecting necessities?	YES / NOT YET
EMOTION	Can I accept being wrong without revenge trading?	YES / NOT YET
PROCESS	Am I willing to practice one setup instead of chasing everything?	YES / NOT YET